

Table 7.6 Volume Statistics

Description	Bull Market	Bear Market
Volume trend	69% down	74% down
Rising volume trend performance	45%	25%
Falling volume trend performance	47%	31%
Heavy breakout volume performance	46%	33%
Light breakout volume performance	46%	24%

Width. Bear markets don't see a performance difference, but in bull markets, wide patterns perform slightly better than narrow ones. The median width between narrow and wide is about 3 weeks (see the table). The width is the time between the two bottoms.

Height and width combinations. Patterns that are tall and wide outperform the other combinations of height and width. You might want to avoid short patterns (either narrow or wide). They underperform in bull markets and don't do that well in bear markets.

Table 7.6 shows volume statistics for the big W pattern.

Volume trend. Volume trends downward most of the time, as measured using linear regression between (and including) the two bottoms of the big W. As I mentioned, don't discard a big W because it has an unusual volume trend. Remember, the trend is your friend.

Rising/Falling volume. Patterns with falling volume, as measured from bottom to bottom in the big W, perform best in both bull and bear markets. The bear market shows the biggest difference between the two values (31% versus 25%). The 25% number comes from 136 samples, so additional samples will likely narrow the gap.

Breakout day volume. Bull markets don't see a performance difference, but bear markets do with heavy breakout volume helping performance. The difference seems unusually wide, though, so additional samples will likely narrow the spread.

Table 7.7 is one of my favorite tables because this kind of trading information can pay for the price of this book.